Democrats will investigate defense, tech, finance

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【メール原文】

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Additional arms sales to Taiwan remain unlikely

Democratic investigations will likely target defense, tech, and financial firms. Companies in tech, healthcare, finance, as well as those with direct exposure to President Donald Trump’s administration, face the most acute near-term risk from a Democratic-controlled investigative apparatus in the next Congress.

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Trump’s alleged personal corruption will be the common throughline linking Congress’s investigations. With executive privilege expected to be broadly invoked for the administration’s own officials, investigators will turn to private-sector entities for records and testimony.
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Even without executive branch cooperation, civil enforcement via the courts remains a real and underappreciated threat for private-sector targets, alongside reputational, regulatory, business, and financial risks.
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Exposed companies should assess their risk now, identify the relevant committee or committees of jurisdiction, and prepare an engagement strategy that includes document retention procedures and legal representation.
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For more, please see Democratic investigations will likely target defense, tech, and financial firms , 5 November 2026.

Pollsters did not have a great midterm election. For all the pre-election consternation about whether polls would once again underestimate Republicans, quite the opposite happened—in almost every

competitive Senate race, polls underestimated Democrats instead, sometimes by striking margins.

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House results are still being counted, but it looks like pollsters also underestimated the Democratic margin in national congressional races by over four points, a miss comparable in magnitude—if not in direction—to pollsters' errors in the 2020 election cycle.

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While pollsters got these races directionally correct for the most part, they whiffed big-time on the margins, especially in southern states where Democratic candidates dramatically outperformed pre-election polling. Races that pollsters forecasted as close, like Texas or South Carolina, weren't, and pollsters missed on the Mississippi race entirely.

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There are a few plausible explanations. One is that pollsters simply didn't have time to catch the late break toward Democrats that started showing up in polls in the last week of the race, and that polls would've been more accurate had they had more time.

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Another stems from the concentration of these misses in southern states, which have higher proportions of younger, less white demographic groups that have historically been harder for pollsters to reach. The large swings toward Democrats among those groups probably amplified the polling miss.

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The takeaway for the 2028 race is that observers should adjust their priors on polling bias; there is no law of nature stating that polls will always overestimate Democratic performance. Instead, bias is essentially unpredictable ex ante and polls should be approached with a healthy dose of skepticism from both directions.

Additional arms sales to Taiwan remain unlikely. Democratic control of Congress is unlikely to alter Trump's political calculus towards China or prompt him to resume arms sales to Taiwan. Trump continues to prioritize US-China stability over security assistance to Taiwan; Beijing has indicated that arms sales would disrupt the truce and complicate the leaders' summits on the sidelines of APEC and G20 this year.

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The executive branch controls the implementation of foreign military sales (FMS), including final delivery, and Congress lacks a viable legislative path to force Trump to change course. Although FMS has historically enjoyed bipartisan support in Congress, the current disruption reflects a decision by the executive branch.

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Delays in arms sales will probably extend beyond January 2027. We do not expect the US to announce additional arms sales to Taiwan before then. January marks the next deadline for the US-China trade truce, which we expect Washington and Beijing to extend.

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Popular opposition to US data centers and the election of skeptical governors may temporarily dampen Taiwan's economic growth as more states potentially impose conditions on data center development. Although those conditions may increase costs for developers, they are unlikely to reduce overall demand; companies will shift projects to more supportive states and municipalities. Taiwan's AI-related

exports to the US will likely continue to rise, supported by sustained demand from US technology companies.

Quote of the Day

"Cabinet secretaries shouldn't be wasting taxpayer dollars on campaign style videos. Kristi Noem learned that the hard way." - Sen. Thom Tillis (R-NC) responding to a promotional video Defense Secretary Pete Hegseth posted about himself on X. With pressure mounting on Hegseth, an unsuccessful military escalation in Iran or a pivot in Trump's thinking away from Hegseth's preference for military action to resolve the conflict are the most likely drivers for a potential Hegseth removal. A potential successor is currently unclear, but his role would have to be filled by a Senate-confirmed official; some potential names that meet that condition include Elbridge Colby, Steve Feinberg, and Adam Telle. We see any move away from Hegseth as likely to empower more dovish voices in the Trump administration.

On the Radar

9 November: Congress returns from recess

18-19 November: APEC leaders meeting in China

11 December: Government funding runs out

14-15 December: G20 summit in Florida

15 December: Senator-elect Sherrod Brown (D-OH) is sworn in, reducing Republicans' Senate majority to 52-48.

10 January: US-China tariff truce expires

Clayton Allen
Practice Head, United States
+1 202.903.0027
allen@eurasiagroup.net
Noah Daponte-Smith
Senior Analyst, United States
daponte-smith@eurasiagroup.net
Kendal Walker
Senior Analyst, United States
walker@eurasiagroup.net
Jason Walter
Researcher, United States
walter@eurasiagroup.net
Dominic Chiu
Senior Analyst, China & Northeast Asia
chiu@eurasiagroup.net
EG US Daily
unitedstates@eurasiagroup.net
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